

Japan Daily Brief

Friday, September 18, 2026

2,392 words · 10 min read

RE: BOJ hikes to 1.25% (31-yr high) · Takaichi post-reshuffle · US potato pressure · DPRK sports minister · chip-factory talks

NIKKEI 225
65,018.95
▲ +2.40%

USD/JPY
157.79
▲ +2.84%

BRENT
\$98.49
▼ -6.80%

BOJ RATE
1.25%

• TODAY AT A GLANCE

- 1 The Bank of Japan raised its policy rate from 1% to 1.25% in a 7-2 split vote — the highest level since 1995 — with BOJ Governor Kazuo Ueda citing a shift to a preemptive inflation-fighting posture, even as two board members dissented and the yen weakened past 157 to the dollar.
- 2 Prime Minister **Sanae Takaichi** recommitted to key policies after completing her first cabinet reshuffle, which retained core ministers including the finance and defense portfolios while adding five newcomers and incorporating a Japan Innovation Party member for the first time.
- 3 Japan and the United States are in talks to build a joint chip factory as part of a broader tariff deal, per Nikkei Asia, while Washington separately raised pressure on Tokyo over potato import restrictions.

• TOP STORIES

ECONOMY-BOJ

BOJ raises rate to 1.25% — 31-year high — in 7-2 split vote; yen drops past 157

The Bank of Japan voted to raise its benchmark policy rate from 1% to 1.25% on September 18, the highest level since 1995, with **Kazuo Ueda** citing a shift toward preemptive inflation-fighting; the decision was split 7-2, with board members Toichiro Asada and Ayano Sato dissenting. The NYT reports the move followed an unusual campaign by Treasury Secretary Scott Bessent for higher rates, yet the yen weakened rather than strengthened as two dissenters signaled future hikes may come more slowly than markets anticipated.

per NYT: "Japan Raises Interest Rates to 31-Year High Under U.S. Pressure"

NYT

POLITICS-DIET

Takaichi recommits to key policies after reshuffle; extra Diet session set for Oct. 5

Prime Minister **Sanae Takaichi** held a post-reshuffle press conference reaffirming her key policy priorities, including a strong economy agenda, after completing her first cabinet reshuffle on September 17 — retaining the Chief Cabinet Secretary, Finance, and Defense ministers while adding five newcomers and a Japan Innovation Party member. An extraordinary Diet session has been formally scheduled to open October 5.

TRADE

US turns up pressure on Japan over potato imports

The United States has raised pressure on Japan over its restrictions on potato imports, per NHK World, adding an agricultural friction point to the ongoing US-Japan tariff negotiations. The move follows Washington's broader use of trade leverage in the bilateral economic relationship as the two governments continue tariff-deal talks.

NHK WORLD · SEP 18

• OVERNIGHT

ALLIANCE Reuters: How Bessent cornered Japan on big spending · Reuters

Reuters reports Treasury Secretary **Scott Bessent** applied sustained pressure on Tokyo to raise interest rates as part of broader US economic demands, framing the BOJ's September 18 hike as a product of US-Japan financial diplomacy. The account adds context to the NYT's reporting that the rate decision came "under US pressure."

ALLIANCE Japan, US arranging Takaichi-Trump talks in US on Tuesday — sources · Kyodo News

Japan and the US governments are arranging a Takaichi-Trump meeting in the United States on Tuesday, per Kyodo News sources, ahead of anticipated US-China talks. The bilateral summit would be PM Takaichi's first face-to-face meeting with President Trump since taking office.

DPRK North Korean sports minister arrives in Japan for Asian Games · Yonhap

North Korea's sports minister arrived in central Japan to attend the Aichi-Nagoya Asian Games, marking a rare official North Korean government presence on Japanese soil. The visit is being tracked as a potential diplomatic signal alongside the ongoing Japan-DPRK abductee dialogue track.

ECONOMY Japan retail bond boom offers new fiscal funding avenue as BOJ scales back purchases · The Japan Times

Surging retail demand for Japanese government bonds is opening a new domestic funding channel as the BOJ reduces its JGB purchase program, raising questions about who will absorb Tokyo's borrowing as institutional demand shifts. The trend coincides with SoftBank's record \$6.4 billion bond sale testing the capacity of Japan's debt market.

DEFENSE Smog grounds Japan SDF force helping fight Indonesia wildfires · AFP Japan

A Japanese Self-Defense Forces unit deployed to assist with Indonesian wildfire suppression has been grounded by heavy smog, per AFP, disrupting a capacity-building mission that also serves Japan's broader Southeast Asia engagement strategy.

• STAT OF THE DAY

7-2

BOJ board vote to hike to 1.25%, highest rate since 1995

Policy Board members Toichiro Asada and Ayano Sato dissented from the rate increase, sending a bearish signal on the yen as markets interpreted the split as suggesting a slower future tightening pace.

Bank of Japan raises interest rates to 31-year high, flags concerns over inflation — CNBC

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, SEPTEMBER 18, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi held a post-reshuffle press conference recommitting to key policies including a strong-economy agenda, following the completion of her first cabinet reshuffle on September 17.

日本銀行 · BANK OF JAPAN · *Kazuo Ueda, BOJ Governor*

BOJ raises policy rate 25bp to 1.25% — highest since 1995 — in 7-2 split vote

The Bank of Japan's Policy Board voted 7-2 to raise the uncollateralized overnight call rate target to 1.25% from 1%, the highest level since 1995, with Governor Kazuo Ueda citing a shift toward preemptive inflation-fighting at his post-meeting press conference. Board members Toichiro Asada and Ayano Sato dissented; Ueda stated larger or consecutive hikes are not ruled out but gave mixed signals, sending the yen to a two-week low past 157 to the dollar.

→ [CNBC](#) ↗

日本銀行 · BANK OF JAPAN

BOJ publishes change in guideline for money market operations (September MPM)

The BOJ published the formal change to its money market operations guideline following the September Monetary Policy Meeting, reflecting the new 1.25% rate target. An amendment to the Principal Terms and Conditions of the Complementary Deposit Facility and the climate-response funds-supplying operations were also released.

→ [Bank of Japan](#) ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Minoru Kihara, Chief Cabinet Secretary*

Reshuffled Takaichi Cabinet vows to realize strong economy

Following PM Takaichi's September 17 cabinet reshuffle, Chief Cabinet Secretary Minoru Kihara conveyed the new cabinet's commitment to economic growth. Key posts including the Chief Cabinet Secretary, Finance Minister, and Defense Minister were retained; Hayashi was excluded from the new lineup and five newcomers were added, including a Japan Innovation Party member.

→ [Jiji Press](#) ↗

防衛省 · MINISTRY OF DEFENSE

MOD announces capacity-building support for Papua New Guinea in equipment and machinery sector

Japan's Ministry of Defense published an announcement of a new capacity-building assistance project for Papua New Guinea covering the facilities and machinery sector, extending Japan's defense-engagement footprint in the Pacific Islands.

防衛省 · MINISTRY OF DEFENSE

MOD reports on Australian maritime patrol monitoring North Korean ship-to-ship transfers

Japan's MOD reported on Australian maritime patrol activity monitoring illegal ship-to-ship transfers (瀬取り) involving North Korean vessels, continuing multilateral enforcement of UN sanctions on DPRK maritime smuggling.

DIET SESSIONS / LDP

LDP

Takaichi's first cabinet reshuffle fires starting gun for LDP leadership race — Kyodo analysis

Kyodo News analysis frames PM Takaichi's first cabinet reshuffle as the de facto opening of positioning for the next LDP presidential election, with the retention of key political figures and introduction of an Ishin member signaling her bid to broaden the governing coalition's base ahead of any snap election.

NATIONAL DIET

Extraordinary Diet session formally scheduled to open October 5

The Japanese government formally announced that an extraordinary Diet session will be convened on October 5, providing the legislative forum for the Takaichi government to present its post-reshuffle policy agenda including budget and security legislation.

CABINET

New cabinet includes 10 lawmakers previously linked to LDP slush-fund scandal; Ishin member appointed for first time

Among the newly appointed vice ministers and parliamentary secretaries, 10 lawmakers had connections to the LDP political funds scandal, per Asahi Shimbun, while one Japan Innovation Party (Ishin) member was incorporated into a government post for the first time — a politically sensitive combination heading into the October 5 Diet session.

CABINET

New administrative reform minister from Ishin signals rideshare expansion push

The newly appointed Minister for Administrative Reform, drawn from the Japan Innovation Party in a first for that party, expressed enthusiasm for expanding rideshare services to address transportation shortages, signaling a deregulatory policy priority for the reshuffled cabinet.

OPPOSITION

Japan opposition alliance agrees to split along founding party lines — LDP eyes renewed Komeito cooperation

The opposition coalition has agreed to dissolve along its original party lines, per Nikkei Asia, while the LDP is simultaneously exploring renewed cooperation with its former coalition partner Komeito — a realignment that could reshape the ruling bloc's parliamentary arithmetic ahead of any lower-house election.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%

JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%

Discourse: The inclusion of 10 lawmakers linked to the LDP slush-fund scandal among new vice ministers and parliamentary secretaries is drawing criticism ahead of the October 5 Diet session, with 68.6% of respondents in the Jiji poll opposing such appointments.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

MACRO · WSJ · BANK OF JAPAN

BOJ raises rates to 1.25%; yen weakens as two dissenters cloud tightening path

The WSJ reports the BOJ lifted its benchmark rate to 1.25% — the highest since 1995 — but the yen weakened as two board members suggested future rate rises might come more slowly than markets anticipated, complicating the carry-trade unwinding calculus for Tokyo investors holding US assets.

TECH · NIKKEI ASIA · KAKAKU.COM, BAIN CAPITAL, EQT

Bain-backed group raises bid for Kakaku.com, challenging EQT

A Bain Capital-backed consortium has raised its acquisition offer for Japanese price-comparison platform Kakaku.com, escalating a contested takeover battle against EQT and underscoring continued foreign private equity appetite for Japanese technology assets.

MACRO · THE JAPAN TIMES

Japan core CPI slows to +1.7% in August, first deceleration in four months

Japan's core consumer price index — excluding fresh food — rose 1.7% year-on-year in August, easing from 1.8% in July and marking the first deceleration in four months, even as the BOJ cited growing inflation risks to justify its rate hike on the same day.

AUTO · BLOOMBERG · TESLA

Tokyo offers world's cheapest Tesla Model Y at under \$23,000 via Japanese subsidies

Tesla is offering the Model Y in Japan at a price under \$23,000 after subsidies — the cheapest in the world — and is actively advertising the subsidies to target customers in a market dominated by domestic brands, per Bloomberg and the Japan Times.

REGIONAL PRESSURE WATCH

Normal — 83 items (BOJ statements dominant: 76; adversary signals: 3)

CHINA

China's Foreign Ministry spokesperson Guo Jiakun held the September 18 regular press conference; separately, Chinese state media marked the 95th anniversary of the September 18 (Mukden/Liutiaohu) Incident with explicit calls on Japan to face its history of aggression and warnings against militarism's revival, continuing a pattern of

anniversary-tied pressure messaging. No new economic-coercion measures or Senkaku-specific incidents are reported today.

NORTH KOREA

North Korea's sports minister arrived in central Japan for the Aichi-Nagoya Asian Games — a rare official North Korean government presence on Japanese soil; separately, Kim Yo Jong issued a statement accusing US-led multilateral exercises with Japan and South Korea of driving North Korea's nuclear arms expansion.

Senkaku / ECS: No new Senkaku or East China Sea intrusion data reported in today's articles; prior pattern of near-daily Chinese Coast Guard contiguous-zone presence carries forward per baseline.

"95 years on, some in Japan still cling to militarist fantasies"

Global Times editorial (Chinese state media) · 95 years on, some in Japan still cling to militarist fantasies: Global Times editorial

Bottom line: China's September 18 Incident anniversary messaging toward Japan is calibrated and formulaic rather than escalatory; the more consequential near-term signal is the arrangement of a Takaichi-Trump summit before any US-China talks, which will test whether Washington and Tokyo hold a common line on China.

• U.S.-JAPAN RELATIONS

TRADE · NHK WORLD

US escalates pressure on Japan over potato import restrictions

Washington has increased pressure on Tokyo to open its market to US potato imports, adding an agricultural dimension to ongoing bilateral tariff negotiations and illustrating the breadth of US trade demands beyond the semiconductor and defense sectors.

• INDO-PACIFIC PARTNERS

AUSTRALIA · INDOPACOM

US, Japan, Australia showcase partnership at Orient Shield 2026 opening

The US, Japan, and Australia held the opening ceremony for Orient Shield 2026, showcasing trilateral land-forces cooperation at a moment when all three nations are deepening defense-industrial and interoperability ties.

KOREA-JAPAN · KOREA HERALD

South Korea files official complaint over Japanese warlord in Asian Games ceremony

South Korea filed a formal diplomatic complaint after a figure representing a Japanese feudal warlord appeared in a welcoming ceremony for the Aichi-Nagoya Asian Games, citing sensitivities over Japan's historical invasions of the Korean Peninsula.

SOUTHEAST ASIA · AFP JAPAN

Smog grounds Japan SDF wildfire unit in Indonesia

A Japanese SDF contingent aiding Indonesian wildfire suppression was grounded by heavy smog, disrupting a bilateral capacity-building mission that also demonstrates Japan's expanding security-assistance footprint in Southeast Asia.

ENERGY

THE JAPAN TIMES

Japan's nuclear revival hits setbacks after scandals and accidents

Japan's push to restart reactors shuttered after the 2011 Fukushima disaster is facing new obstacles from data-falsification scandals and accidents, including the resignation of a utility head and withdrawal of a reactor safety review application.

ALLIANCE

THE DIPLOMAT

Potential Japan-US mismatch on China ahead of Trump-Xi summit

The Diplomat argues that as a Trump-Xi summit approaches, Japan faces a risk that US and Japanese strategic priorities on China could diverge at a critical juncture.

DPRK

THE JAPAN TIMES

Japan rescued North Korean sailors after vessel sinks off northwestern coast

Japan rescued North Korean sailors after a boat being towed by a North Korean cargo vessel sank off Japan's northwestern coast, with one person missing — a rare case in which North Korean authorities requested international assistance.

ECONOMY

NIKKEI ASIA

Japan household stock investments overtake insurance and pensions for first time

Japanese household stock investment holdings have surpassed insurance and pension assets for the first time, marking a structural shift in domestic savings behavior.

• UPCOMING

Sep
18

Tropical Storm Dujuan approaches eastern Japan over Silver Week

The storm is forecast to bring heavy rain, strong winds, and high waves to eastern Japan, including the Tokyo area, during the Silver Week holiday period beginning today.

Sep
22

PM Takaichi confirmed to address UN General Assembly

Prime Minister Sanae Takaichi is scheduled to address the United Nations General Assembly on September 22; her remarks are expected to address Japan's defense posture, alliance commitments, and bilateral economic agenda.

Sep
23

Takaichi-Trump bilateral summit expected in the United States

Japan and US governments are arranging a Takaichi-Trump meeting in the United States on approximately Tuesday, September 22-23, ahead of anticipated US-China high-level talks — the first in-person summit between the two leaders.

Oct
5

Extraordinary Diet session opens

Japan's extraordinary Diet session convenes on October 5, providing the legislative venue for the Takaichi government's post-reshuffle policy agenda, including the FY2027 budget framework and pending security legislation.

Oct

Starbucks Japan raises prices on core beverages by 4-35 yen

CSIS Japan Chair

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